

EA take-private: could a buyout fund pay \$210?

Electronic Arts Inc. · formerly Nasdaq: EA

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OFFER PRICE	ENTRY EV / ADJ. EBITDA	SPONSOR IRR, BASE	MAX PRICE AT 20% IRR
\$210.00	19.4×	7.5%	\$151

01 Summary

On 4 August 2026 a consortium of Saudi Arabia's Public Investment Fund (PIF), Silver Lake and Affinity Partners completed the take-private of Electronic Arts at \$210 per share in cash, a 25% premium and about \$55bn including debt: the largest leveraged buyout ever. PIF, which already owned about 10% of EA, holds 93.4% of the company after closing.

This memo rebuilds the deal as a buyout fund would, from EA's FY2026 results and the \$18.0bn debt package raised in March 2026. Over five fiscal years (FY2027–FY2031), the Base case returns **7.5% a year (1.43×)**; the Downside loses money and the Upside earns 17.7%. A sponsor with a 20% IRR hurdle could have paid at most **\$122–197 per share**, and **\$151** in the Base case, below the \$168 unaffected price.

CONCLUSION
EA was not a classic LBO. At 19.4× EBITDA, 6.8× leverage and a 64% equity cheque, no scenario reaches a 20% IRR at \$210. The price fits an owner with a long horizon and a lower cost of capital, and PIF funds most of the equity.

02 Sources and uses at closing

USES	\$M	%	SOURCES	\$M	%
Purchase of equity (250.8m shares × \$210)	52,658	96.1%	Sponsor equity (PIF, Silver Lake, Affinity)	34,816	63.5%
Refinance existing senior notes	1,485	2.7%	New debt	18,002	32.9%
Financing fees (1.5% of debt)	270	0.5%	EA balance-sheet cash (keeping \$1.0bn)	1,980	3.6%
OID on term loan B (98.5)	122	0.2%	Total sources	54,798	100%
Advisory and other costs	263	0.5%	Entry EV / FY2026 adj. EBITDA	19.4×	
Total uses	54,798	100%	Gross leverage (on marketed EBITDA)	6.8×	(5.3×)

Adjusted EBITDA is on a net bookings basis: operating income + change in deferred net revenue + D&A + stock-based compensation = \$2,636m in FY2026. \$18.0bn / \$2,636m = 6.8×, the gross leverage reported for the financing. Lenders were marketed \$3.4bn of EBITDA including about \$400m of cost savings and \$300m of addbacks. The model's sponsor equity of \$34.8bn compares with about \$36bn reported.

03 The debt package

TRANCHE	AMOUNT	PRICING	MODEL RATE	TERMS
Term Loan A	\$3,250m	Not disclosed (SOFR + 175 assumed)	5.50%	5% amortisation assumed, prepayable
Term Loan B (USD)	\$6,125m	SOFR + 350, OID 98.5	7.25%	1% amortisation, prepayable
Term Loan B (EUR)	€1,725m (≈\$2.0bn)	Euribor + 350, OID 98.5	5.75%	1% amortisation, prepayable
Senior secured notes 2033 (USD)	\$2,875m	7.25% fixed	7.25%	Bullet
Senior secured notes 2033 (EUR)	€1,080m (≈\$1.25bn)	6.25% fixed	6.25%	Bullet
Senior unsecured notes 2034	\$2,500m	8.75% fixed	8.75%	Bullet
Revolving facility	\$500m	—	—	Undrawn

The financing drew about \$45bn of orders and was rated BB-/B1. The model assumes SOFR at 3.75% and Euribor at 2.25%, which gives \$1.24bn of cash interest in the first year and EBITDA cover of 2.4×.

04 Operating case and deleveraging

Net bookings of \$8.0bn (FY2026, +9%) grow at 2%, 5% or 8% a year. The adjusted EBITDA margin stays at 32.8% of bookings, plus cost savings of \$200m, \$400m or \$700m (half in FY2027). The consortium has targeted up to \$700m. Half of former stock-based pay is now paid in cash, because unvested RSUs became cash awards. Capex and D&A stay at FY2026 ratios, cash taxes are 21%, and all cash above \$1.0bn sweeps the term loans.

BASE CASE, \$M	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Net bookings	8,026	8,427	8,849	9,291	9,756	10,243
Adj. EBITDA (incl. savings)	2,636	2,968	3,306	3,451	3,604	3,764
Cash interest	—	1,243	1,192	1,124	1,049	940
Free cash flow after interest	—	920	1,206	1,351	1,507	1,693
Gross debt	18,002	17,082	15,876	14,525	13,018	11,325
Net debt / adj. EBITDA	6.4×	5.4×	4.5×	3.9×	3.3×	2.7×
Adj. EBITDA / cash interest	—	2.4×	2.8×	3.1×	3.4×	4.0×

The business carries the debt comfortably. The Base case repays \$6.7bn of term loans in five years, and even the Downside ends at 3.9× with interest covered three times. The problem is the price, not the credit.

05 Returns

	DOWNSIDE	BASE	UPSIDE
Bookings growth / savings / exit multiple	2% / \$200m / 14×	5% / \$400m / 16×	8% / \$700m / 19×
FY2031 adj. EBITDA	\$3,110m	\$3,764m	\$4,573m
Exit enterprise value	\$43,545m	\$60,228m	\$86,890m
(-) Net debt at exit	(\$11,976m)	(\$10,325m)	(\$8,203m)
Exit equity vs \$34,816m invested	\$31,569m	\$49,904m	\$78,687m
MoM / IRR	0.91× / -1.9%	1.43× / 7.5%	2.26× / 17.7%
Maximum price at a 20% IRR	\$122	\$151	\$197
Exit multiple needed for 20% at \$210	31.7×	25.8×	20.7×

The Base exit multiple of 16× is close to where EA traded before the deal (\$168 per share, about 15.4× FY2026 adjusted EBITDA). The Upside assumes a 19× exit, near the entry multiple, and still falls short of 20%.

06 Sensitivity: IRR by entry price and exit multiple (Base case)

PRICE \ EXIT	12×	14×	16×	18×	20×	22×
\$150	12.1%	16.6%	20.4%	23.9%	27.0%	29.8%
\$168 (unaffected)	7.5%	11.8%	15.5%	18.8%	21.8%	24.5%
\$180	5.0%	9.2%	12.9%	16.1%	19.0%	21.6%
\$195	2.3%	6.4%	10.0%	13.1%	15.9%	18.5%
\$210 (offer)	0.0%	4.0%	7.5%	10.5%	13.3%	15.8%
\$225	-2.0%	1.9%	5.3%	8.3%	11.0%	13.4%

07 Limitations

- The TLA spread and amortisation, SOFR, Euribor, fees, minimum cash and the share of stock-based pay moved to cash are assumptions.
- Annual model over five full fiscal years (FY2027-FY2031); measured from the August 2026 close (about 4.7 years) the Base IRR would be about 8% instead of 7.5%. FX on the euro tranches is held at the rate implied at signing.
- Taxes ignore the US limit on interest deductibility (30% of tax EBITDA). It is material here: FY2027 interest of \$1.24bn exceeds that cap, so cash taxes would be higher and returns lower.
- Only half of former stock-based pay is modelled as a cash cost; the other half is not charged as cash or as dilution at exit, which flatters returns.
- The sponsor equity is treated as one cheque; PIF's rollover of its existing stake is valued at \$210 like new money.
- No dividend recap, IPO or strategic exit is modelled; strategic value to PIF (gaming, esports, AI) is outside the model.

Sources. EA Q4 and FY2026 earnings release and 10-K (SEC, May 2026); closing 8-K (August 2026); financing terms from Octus and PitchBook (March 2026); deal terms and ownership from Wikipedia and MergerSight. Figures in \$ millions unless stated. Educational project, not investment advice.